<u>CU-26-00037 Secure Octane Fund II LP vs. Aldefi, Inc.</u>

Defendant's Demurrer to the First Amended Complaint ("FAC") is SUSTAINED with leave to amend. Plaintiff is to file and serve their amended complaint within thirty days of the date of this order. Defendants' Request for Judicial Notice is GRANTED. The Case Management Conference is continued to November 5, 2026 at 1:30 p.m.

A demurrer generally serves to test the legal sufficiency of the complaint's factual allegations. (*Genis v. Schainbaum* (2021) 66 Cal. App. 5th 1007, 1014.) A party may demur when any ground for objection to a complaint appears on the face of it, or from a matter from which the court is required or may take judicial notice. (Cal. Code of Civ. Proc. §430.30(a); *Levya v. Neilson* (2000) 83 Cal.App.4th 1061, 1063.) Demurrer lies where it appears on the face of the complaint that the plaintiff has not alleged facts sufficient to state a cause of action. (Cal. Code of Civ. Proc. §430.10(e); *James v. Sup. Ct.* (1968) 261 Cal.App.2nd 415.) The process of a demurrer does not serve to test the merits of the Plaintiff's case. (*Tenet Health System Desert Inc. v. Blue Cross of CA. (2016*) 245 Cal App 4th 821, 834.) When any ground for objection to a complaint appears on the face thereof, or from any matter of which the court is required to or may take judicial notice, the objection on that ground may be taken by a demurrer to the pleading. (Cal. Code of Civ. Proc. §430.30(a); *Levya v. Nielson* (2000) 83 Cal. App. 4th 1061, 1063.) For the purpose of demurrer, a judge must treat the demurrer as an admission of all material facts properly pled in the challenged pleading or that reasonably rise by implication, however improbable they are. (*Collins v. Thurmond* (2019) 41 Cal. App 5th 879, 894.) For the purpose of testing the sufficiency of a cause of action, contentions, deductions, or conclusions of law are not admitted as true, and must be ignored. (*Aubry v. Tri-City Hosp Dist.* (1992) 2 Cal.4th 962, 966-67.) Additionally, a party may not allege facts inconsistent with the exhibits to the complaint. (*Moran v. Prime Healthcare Management, Inc.* (2016) 3 Cal.App.5th 1131, 1145-6.)

<u>First Cause of Action - Fraud</u>

A promissory fraud theory requires a showing of: "(1) a promise made regarding a material fact without any intention of performing it; (2) the existence of the intent not to perform at the time the promise was made; (3) intent to deceive or induce the promisee to enter into a transaction; (4) reasonable reliance by the promisee; (5) nonperformance by the party making the promise; and (6) resulting damage to the promise." (*Behnke v. State Farm Gen. Ins. Co.* (2011) 196 Cal.App.4th 1443, 1453.) Furthermore, fraud must be pled with specificity. (*Small v. Fritz Companies Inc*. (2003) 30 Cal.4th 167, 182.) General and conclusory allegations are insufficient to support a claim for fraud. (*Dowling v. Zimmerman* (2001) 85 Cal.App.4th 1400, 1402.) Fraud constitutes "a serious attack on character, and fairness to the defendant demands that he should receive the fullest possible details of the charge in order to prepare his defense. Thus, the policy of liberal construction of the pleadings . . . will not ordinarily be invoked to sustain a pleading defective in any material respect." (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.) "This particularity requirement necessitates pleading facts which "show how, when, where, to whom, and by what means the representations were tendered." (*Ibid*. citing *Hills Trans. Co. v. Southwest* (1968) 266 Cal.App.2d 702, 707.) In *Stansfield*, the Court of Appeal upheld trial court's decision to sustain the demurrer without leave to amend. The trial court has sustained a demurrer as to the fraud cause of action because the complaint did not allege who acted as the agent of what principal, when each false representation was made, and the causal connection between the misrepresentations and the harm to the complainants. (*Id*. at 74-75.)

Here, the FAC fails to satisfy the particularity requirements such as who made the statements, the location of any conversations, how the specific agreement was manifested, and facts showing Defendants made a representation that they knew was false at the time. Instead, the FAC includes general statements such as "The Founders and Secure Octane agreed that Secure Octane would invest $250,000 in Aldefi on the condition that the Founders would make an equivalent and simultaneous investment" (FAC 3:23-25); "On March 7, 2023, satisfied the Founders had made their investment as promised, Secure Octane executed a Simple Agreement for Future Equity ("SAFE")" (FAC 4:7-8.); and "During a call and an in-person conversation in or around late January 2023, the Founders and Secure Octane agreed that Secure Octane would invest $250,000 in Aldefi on the condition that the Founders would make an equivalent and simultaneous investment." (FAC ¶ 35.)

<u>Second and Third Causes of Action – Breach of Contract</u>

To bring a cause of action for breach of contract, Plaintiff must allege: "(1) the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and

(4) the resulting damages to plaintiff." (*Careau & Co. v. Sec. Pac. Bus. Credit, Inc* (1990) 222 Cal.App.3d 1371, 1388.) California also law requires that a plaintiff plead the existence of a written contract "either by its terms—set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference—or by its legal effect. In order to plead a contract by its legal effect, plaintiff must 'allege the substance of its relevant terms. This is more difficult, for it requires a careful analysis of the instrument, comprehensiveness in statement, and avoidance of legal conclusions.'" (*Heritage Pac. Fin., LLC v. Monroy* (2013) 215 Cal. App. 4th 972, 993 (internal citations omitted).) To plead the existence of an oral contract, a party must set forth the nature and material terms of the agreement. (*Khoury v. Maly's of Cal., Inc.* (1993*)* 14 Cal. App. 4th 612, 616.) Plaintiff's first Complaint declares that the terms of the parties' promises and agreement rests on two written agreements, SAFE Note 1 and SAFE Note 2. (Compl. at 3-4.) The FAC asserts the agreement was oral. (FAC ¶¶ 47, 52.) "Unless the plaintiff provides a 'plausible' explanation for the inconsistency or omission (such as the need to correct a mistaken allegation or to clarify ambiguous facts), the trial court will take judicial notice of the prior pleading and disregard the new and contrary allegations." (*Smyth v. Berman* (2019) 31 Cal. App. 5th 183, 195 (2019).)

The FAC wholly fails to allege the relevant terms as required by California law, and fails to attach the two agreements between the parties: SAFE Notes 1 and 2. Plaintiff fails to adequately explain the omission or inconsistency between the original Complaint's allegation of a written contract and the FAC's allegations that the contracts or agreements were oral. It appears that the written contracts, SAFE Notes 1 and 2, are the written contracts that are the subject of the FAC. The FAC alleges that the in early 2023, the parties reached an agreement and in September, the parties reached another agreement. (FAC ¶¶47, 52.) Notes 1 and 2includes statements that the agreements were entered into on February 27, 2023 addressing a payment to be made on March 7, 2023, and entered into on September 25, 2023 addressing a payment to be made on September 25, 2023.

<u>CU-26-00117 Mendez, Jose vs. True Leaf Farms, LLC</u>

The Case Management Conference is continued to September 24, 2026 at 1:30 p.m. to be heard along with the Motion to Compel Arbitration.

<u>PR-25-00072 In re the Matter of Susan Enz</u>

In California, a waiver of attorney client privilege/work product doctrine may be accomplished by: 1) disclosing privileged communication in a non-confidential context (Evid. Code §912 (a).; 2) failing to claim privilege in a proceeding where the holder has the legal standing and opportunity to do so (*Ibid.*); and 3) failing to assert the privilege in a timely response to inspection demand. (Code Civ. Proc. §2031.300(a); *see also Catalina Island Yacht Club v. Sup. Ct.* (2015) 242 Cal.App.4th 1116, 1126.) The failure to include an objection based on attorney client privilege/work product doctrine in the initial responses to discovery results in waiver. (*Scottsdale Ins. Co. v. Sup. Ct*. (1997) 59 Cal.App.4th 273, 274.) The objection must be specific and, if an objection is based on a claim of privilege, the particular privilege invoked shall be stated. (Code Civ. Proc. §2031.240(b)(2).) The objection must expressly state if it is based on the claim that the information sought is protected work product. (*Ibid.*) Objections that are not asserted in the response are not preserved. (*Scottsdale Ins. Co v. Sup Ct.*, 59 Cal.App.4th at 268.) When a party fails to serve timely responses to discovery, that party waives any objection to the demand, including one based on privilege or the protection of work product. (Code Civ. Proc. §2031.300(a).) Pursuant to section 2031.300(a) a court, on motion, my relieve a party from the waiver of attorney client privilege/work product doctrine upon its determination that 1) the party has subsequently served a response that is substantially compliant with the relevant statute, and 2) the party's failure to serve a timely response was the result of mistake, inadvertence, or excusable neglect. Here, the court has already ruled on the question of whether there has been waiver of the attorney-client privilege or work product doctrine as of July 31, 2026.

It appears from the arguments presented here there is a conflation between the waiver of objections for failing to either a) assert the privilege/doctrine in the response or b) not providing responses timely or without authorized extension and waiving the privilege/doctrine in itself. Where there has been inadvertent disclosure of privileged documents, and that such